

Retention Playbook

(Business Recommendations)

A. Promotional Sunset Plan

Based on customer-level behavioral analysis (purchase behavior, discount dependency, and repeat purchase characteristics), we recommend a targeted, phased reduction of promotional spend instead of blanket discounting. The goal is to improve contribution margin while minimizing the loss of valuable customers.

Customer segments were constructed using engineered variables derived from transactional and behavioral data. Segment definitions are fully traceable to measurable attributes including Purchase Count, Discount Dependency Score, Average Order Value, Satisfaction Score, and Previous Purchase Count, ensuring that all recommendations remain grounded in observable customer behavior.

Segment 1: High-Frequency, High-Discount Dependency Users

Definition (Data-backed):

Customers with:

- Purchase Count in the top 25% of the customer base
- Discount Dependency Score $\geq 60\%$
- Previous Purchase Count above the dataset median

Insight:

These users exhibit strong platform dependence but are conditioned to transact only under promotions, leading to margin leakage.

Trigger for Action:

- Discount Dependency Score exceeds 60% and Previous Purchase Count remains above the dataset median.

Action Plan (Phased Rollout):

- Weeks 1–2: Reduce average discount from $\sim 30\% \rightarrow 25\%$
- Weeks 3–4: Reduce further to $\sim 20\%$
- Weeks 5–6: Cap discounts at $\sim 10\text{--}15\%$

KPIs to Track:

- Repeat Purchase Rate
- Conversion rate per campaign
- Contribution margin per user

Expected Impact:

- Margin improvement of ~15–25% per user
- Slight reduction in repeat purchase behavior.

Trade-off:

- **Risk:** 10–20% drop in order volume due to price sensitivity
 - **Reward:** Significant improvement in unit economics and reduced over-reliance on discounts
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Segment 2: Low-Frequency, High-Discount Users (At-Risk Segment)

Definition (Data-backed):

Customers with:

- Purchase Count below the dataset median
- Discount Dependency Score $\geq 70\%$
- Previous Purchase Count below the dataset median

Insight:

These users are not truly loyal and are primarily promotion-driven, resulting in low lifetime value.

Trigger for Action:

- Customers exhibiting a Discount Dependency Score $\geq 70\%$ combined with Previous Purchase Count below the dataset median.

Action Plan (Selective Withdrawal):

Rollout Timeline:

- Weeks 1–2: Replace 50% of flat discounts with free shipping incentives.
- Weeks 3–4: Introduce loyalty points in place of direct price reductions.
- Weeks 5–6: Restrict discounts to first-purchase reactivation campaigns only

KPIs to Track:

- Re-activation rate
- Cost per retained user
- Incremental revenue per campaign

Expected Impact:

- Reduction in inefficient promotional spend
- Better identification of genuinely retained users
- Estimated contribution margin improvement of 8–12% through reduction of inefficient promotional spending.

Trade-off:

- **Risk:** High churn (~25–40%) in this segment
- **Reward:** Elimination of low-margin, promotion-only customers → improves overall profitability

Segment 3: High-Value, Low-Discount Users (Protect Segment)

Definition (Data-backed):

Customers with:

- Purchase Count above the dataset median
- Discount Dependency Score below 20%
- Average Order Value above the dataset median

Insight:

These users demonstrate intrinsic brand affinity and generate the highest lifetime value.

Trigger for Action:

- Customers exhibiting a Discount Dependency Score below 20% and Purchase Count above the dataset median.

Action Plan:

- Maintain minimal discounts
- Introduce:
 - Loyalty programs
 - Early access to products
 - Personalized recommendations

KPIs to Track:

- Customer Lifetime Value (CLV)
- Repeat purchase rate
- Net revenue retention

Expected Impact:

- Strengthened long-term retention
- Increased customer lifetime value
- Expected 10–15% improvement in customer lifetime value through retention-focused investments and personalized engagement.

Trade-off:

- **Risk:** Slight increase in retention investment (non-discount benefits)
 - **Reward:** Maximization of long-term revenue from high-value customers
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B. Ideal Customer Profile (ICP)

Definition:

The brand's most valuable customers exhibit the following characteristics:

- Purchase Count in the top quartile of the customer base
- Discount Dependency Score below 25%
- Average Order Value above the dataset median
- Satisfaction Score of 4 or higher
- Previous Purchase Count above the dataset median
- Demonstrated purchasing behavior independent of promotional incentives.

Insight:

This profile was identified through the overlap of high-spending customers, repeat purchasers, low-discount users, and highly satisfied customers. These customers contribute disproportionately to revenue while requiring lower promotional investment, resulting in stronger unit economics:

- Stable repeat purchases
 - Lower promotional cost per transaction
 - Higher contribution margin
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Strategic Implications for Marketing

To acquire and retain high-value customers, the brand should:

1. **Target Lookalike Audiences:**
 - Focus acquisition campaigns on customers exhibiting high purchase counts, low promotional reliance, higher average order values, and strong satisfaction indicators.
 2. **Optimize Acquisition Channels:**
 - Prioritize channels that attract intent-driven users over deal-seekers
 3. **Shift Value Proposition:**
 - Emphasize product quality, convenience, and experience rather than discounts
 4. **Personalization Strategy:**
 - Use behavioral data to recommend products and reduce reliance on blanket promotions
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Final Recommendation

A shift from **discount-led growth to behavior-driven retention strategy** is critical. By selectively reducing promotions for discount-dependent users and investing in high-value segments, the brand can:

- Improve overall profitability
- Build sustainable customer relationships
- Reduce long-term dependency on discounts

However, this strategy requires accepting short-term trade-offs in order volume to achieve long-term gains in margin and customer quality.

All recommendations presented in this playbook are intended to be implemented through controlled experiments (A/B testing) before organization-wide rollout to validate the projected margin impact and retention outcomes. The proposed strategy prioritizes profitability optimization over pure revenue expansion, recognizing that the deliberate reduction of promotional dependency may lead to short-term volume contraction but stronger long-term customer economics.